

AAC (2018.HK): AI drives opportunities; modest smartphone end demand under high memory costs; Neutral

We remain positive on AAC's focus on premium smartphone models and components expansion (i.e. from acoustics to cameras, vapor chamber cooling, etc.), along with its extension to automotive electronics, AI data centers (e.g., cooling and lenses for CPO), and edge AI devices. Nevertheless, the slow smartphone market amid high memory costs continues to weigh on growth in the company's consumer electronics segment. The share price currently trades at 14x 2027E P/E on a +14% avg. NI YoY in 2027-28E, closer to our target P/E multiple of 15.8x, suggesting the positives are largely priced in. We could turn more positive on AAC if we were to see a stronger-than-expected smartphone market, faster-than-expected AI data center products ramp-up, or healthier-than-expected competition in smartphones.

AI data centers / edge AI devices as long-term upside: AAC continues to diversify into new end markets to reduce its single smartphone market exposure. In AI data centers, cooling and lenses are the key areas of expansion, including Coolant Distribution Units (CDUs), cold plate, Quantum Dot (QD), vapor chamber, and casing for optical modules cooling, as well as lenses for Co-Packaged Optics Fiber Array Units (CPO FAU). In Sep, AAC became a partner of the 'Intel DCG China Ecosystem Liquid Cooling Innovation Acceleration Program', aiming to advance liquid cooling technology innovations tailored for high-density servers and rack-level architectures, covering CPU cold plates, memory and SSD liquid cooling, UQD/QD connectors, manifolds, CDUs, and rack-level liquid cooling architectures. Edge AI devices are another area of upside for AAC, which could be new technology devices for consumers, expanding AAC's components market (e.g., acoustics, cameras, RF, casing, etc.).

Earnings revisions: We revise 2026-28E net income by -1%/ 0%/ 0%, mainly on lower revenues. Revenues are revised down on lower smartphone shipments and component shipments (handset lens, camera module, RF mechanical, haptics, acoustics) amid the slow smartphone market under the high memory costs. We revise down 2026E GM by 0.2ppts on lower handset lens GM as we slow the pixel mix upgrade given the slow smartphone market. Our updated OP income estimates are largely in line with Bloomberg consensus for 2026/ 27E.

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Exhibit 1: Earnings revisions

Rmb m	2026E			2027E			2028E		
	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenue	36,686	36,424	-1%	41,144	39,521	-4%	44,049	42,668	-3%
GP	8,450	8,304	-2%	9,624	9,319	-3%	10,374	10,121	-2%
OP	3,172	3,061	-3%	3,931	3,853	-2%	4,319	4,257	-1%
Net income	2,759	2,740	-1%	3,211	3,214	0%	3,584	3,588	0%
EPS (diluted, RMB)	2.35	2.34	-1%	2.74	2.74	0%	3.06	3.06	0%
Margins									
GM	23.0%	22.8%	-0.2ppts	23.4%	23.6%	0.2ppts	23.6%	23.7%	0.2ppts
OPM	8.6%	8.4%	-0.2ppts	9.6%	9.7%	0.2ppts	9.8%	10.0%	0.2ppts
NM	7.5%	7.5%	0ppts	7.8%	8.1%	0.3ppts	8.1%	8.4%	0.3ppts

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: GS vs Bloomberg consensus

Rmb m	2026E			2027E			2028E		
	GS	BB	Diff %	GS	BB	Diff %	GS	BB	Diff %
Revenue	36,424	35,300	3%	39,521	41,092	-4%	42,668	45,793	-7%
GP	8,304	8,167	2%	9,319	9,600	-3%	10,121	10,813	-6%
OP	3,061	3,116	-2%	3,853	3,940	-2%	4,257	4,550	-6%
Net income	2,740	2,746	0%	3,214	3,379	-5%	3,588	3,854	-7%
EPS (diluted, RMB)	2.34	2.34	0%	2.74	2.91	-6%	3.06	3.30	-7%
Margins									
GM	22.8%	23.1%	0.3ppts	23.6%	23.4%	-0.2ppts	23.7%	23.6%	-0.1ppts
OPM	8.4%	8.8%	0.4ppts	9.7%	9.6%	-0.2ppts	10.0%	9.9%	0ppts
NM	7.5%	7.8%	0.3ppts	8.1%	8.2%	0.1ppts	8.4%	8.4%	0ppts

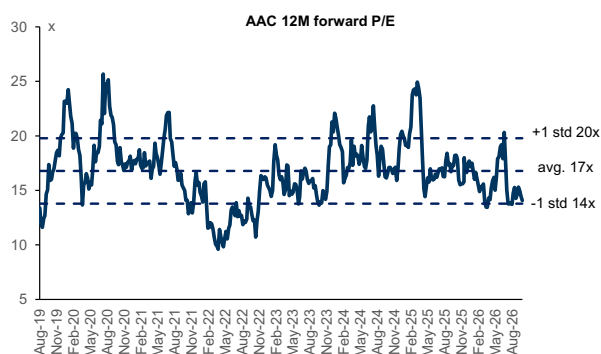
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 3: AAC P&L summary

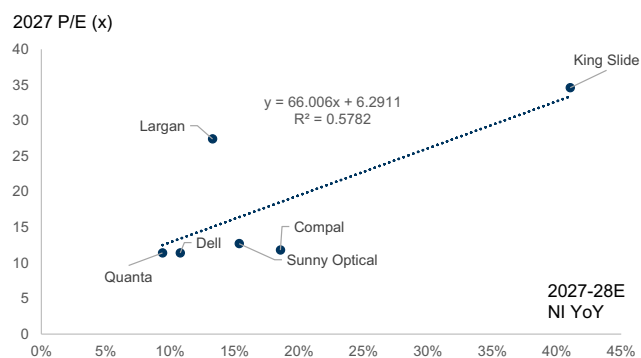
Rmb m	1H25	2H25	1H26	2H26E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenues	13,318	18,499	14,506	21,918	17,667	20,625	20,419	27,328	31,817	36,424	39,521	42,668
GP	2,754	4,262	3,244	5,059	4,365	3,775	3,452	6,042	7,016	8,304	9,319	10,121
OP	776	1,813	960	2,100	1,483	745	457	2,079	2,589	3,061	3,853	4,257
Pretax income	1,035	1,852	1,015	2,044	1,413	861	823	1,990	2,887	3,059	3,573	3,989
Net income	876	1,636	901	1,839	1,316	821	740	1,797	2,512	2,740	3,214	3,588
EPS (basic, RMB)	0.76	1.42	0.79	1.61	1.09	0.69	0.63	1.53	2.14	2.34	2.74	3.06
Margins												
GM	20.7%	23.0%	22.4%	23.1%	24.7%	18.3%	16.9%	22.1%	22.1%	22.8%	23.6%	23.7%
OPM	5.8%	9.8%	6.6%	9.6%	8.4%	3.6%	2.2%	7.6%	8.1%	8.4%	9.7%	10.0%
NM	6.6%	8.8%	6.2%	8.4%	7.5%	4.0%	3.6%	6.6%	7.9%	7.5%	8.1%	8.4%
Ratios												
Opex ratio	14.8%	13.2%	15.7%	13.5%	16.3%	14.7%	14.7%	14.5%	13.9%	14.4%	13.8%	13.7%
Tax rate	15.6%	10.0%	10.0%	10.0%	8.5%	26.9%	30.7%	11.4%	12.0%	9.8%	10.0%	10.0%
YoY												
Revenues	18%	15%	9%	18%	3%	17%	-1%	34%	16%	14%	9%	8%
GP	14%	18%	18%	19%	3%	-14%	-9%	75%	16%	18%	12%	9%
OP	28%	23%	24%	16%	10%	-50%	-39%	355%	24%	18%	26%	10%
Net income	65%	36%	-2%	10%	-13%	-38%	-10%	143%	40%	9%	17%	12%
HoH												
Revenues	-17%	39%	-22%	51%								
GP	-24%	55%	-24%	56%								
OP	-47%	134%	-47%	119%								
Net income	-24%	79%	-45%	101%								

Source: Company data, Goldman Sachs Global Investment Research

Valuation: We continue to derive our target price using a near-term P/E. We use a 15.8x target 2027E P/E (vs. our previous target multiple of 15.6x 2027E P/E), which is still derived from the correlation between peers' P/E and NI YoY growth. Accordingly, our new target price is at HK\$51.0 (vs. HK\$50.0 previously). Our new target P/E multiple of 15.8x is within the company's historical avg. and avg.-1std forward trading P/E, and our new target price implies 0.7x 2027E P/E against 2027-28E NI YoY and OPM, in line with peers' ratios of 0.2x to 0.7x. Maintain Neutral.

Exhibit 4: AAC 12M forward P/E

Source: Eikon Datastream, Bloomberg

Exhibit 5: The target multiple is derived from correlation between peers' P/E and NI YoY

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: AAC's TP-implied PEG & M is in line with peers' trading PEG & M

Company Ticker	AAC 2018.HK	Company Ticker	Sunny Optical 2382.HK	Largan 3008.TW	Luxshare 002475.SZ	BYDE 0285.HK	Goertek 002241.SZ	Q-Tech 1478.HK
TP (lcy)	51	Price (lcy)	63.35	6,205	49.43	22.98	22.79	5.06
2027-28E avg. NI YoY	14%	2027-28E NI YoY	15%	13%	39%	26%	20%	18%
2027-28E avg. OPM	10%	2027-28E OPM	10%	44%	7%	2%	4%	4%
TP implied 2027E P/E	16	Trading 2027E P/E	12.7	28.6	10.5	9.3	18	6.58
TP implied PEG & M	0.7	Trading PEG & M	0.5	0.5	0.2	0.3	0.7	0.3

Bloomberg consensus data is used for Not Covered companies (Goertek and Q-Tech)

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 7: AAC's Balance sheet and Cash flow statement

Rmb m	2022	2023	2024	2025	2026E	2027E	2028E
Cash and equivalents	6,814	6,825	7,538	8,612	11,577	14,022	17,057
Net receivables	4,279	5,362	7,739	6,820	7,750	8,058	9,009
Inventory	4,401	2,992	3,938	4,532	5,176	7,236	8,458
Other current assets	1,622	1,348	1,687	2,239	2,239	2,239	2,239
Current assets	17,116	16,527	20,902	22,202	26,741	31,555	36,762
Net PP&E/Fixed assets	19,302	18,070	17,884	18,329	18,901	18,011	16,899
Net intangibles	564	589	1,706	1,639	1,205	886	651
Long term investments	364	364	364	364	364	364	364
Other long-term assets	2,997	3,360	5,844	6,444	6,444	6,444	6,444
Total assets	40,343	38,911	46,700	48,978	53,656	57,260	61,121
Accounts payable	2,131	3,055	5,090	5,897	5,659	6,422	7,132
Short-term debt and current portion of long-term debt	1,833	1,464	1,728	383	1,883	1,883	1,883
Other current liabilities	5,091	5,611	7,585	8,573	8,604	8,669	8,720
Current liabilities	9,055	10,129	14,403	14,854	16,146	16,973	17,735
Long-term debt	1,727	1,726	3,883	5,592	6,592	6,592	6,592
Other long-term liabilities/creditors	7,366	4,684	5,297	3,589	3,589	3,589	3,589
Long term liabilities	9,093	6,410	9,180	9,182	10,182	10,182	10,182
Total liabilities	18,148	16,540	23,583	24,035	26,328	27,155	27,916
Common stock (par value, capital surplus)	98	97	97	97	97	97	97
Retained earnings	21,559	21,784	22,657	24,260	26,626	29,403	32,503
Total common equity	21,656	21,881	22,754	24,357	26,724	29,500	32,600
Minority interest (balance sheet)	539	490	362	587	605	605	605
Total equity	22,196	22,371	23,117	24,943	27,328	30,105	33,204
Total liabilities and equity	40,343	38,911	46,700	48,978	53,656	57,260	61,121
BVPS (Rmb)	18.00	18.50	19.35	20.77	22.79	25.16	27.80
AR days (days)	78	86	87	84	73	73	73
Inventory days (days)	109	80	59	62	63	75	88
AP days (days)	52	56	70	81	75	73	76
CCC days (days)	135	110	77	65	61	75	85
Net debt per share (Rmb)	(2.71)	(3.07)	(1.64)	(2.25)	(2.65)	(4.73)	(7.32)
Asset turnover	0.5	0.5	0.6	0.7	0.7	0.7	0.7
Leverage (assets to equity)	1.9	1.8	1.9	2.0	2.0	2.0	1.9
Net margin	4.0%	3.6%	6.6%	7.9%	7.5%	8.1%	8.4%
ROE	4%	3%	8%	11%	11%	11%	12%

Rmb m	2022	2023	2024	2025	2026E	2027E	2028E
Income pre-preferred share dividends	821	740	1,797	2,512	2,740	3,214	3,588
Minority interest add-back	(192)	(170)	(34)	27	18	-	-
Depreciation and amortization add-back	2,802	2,776	2,910	3,034	3,092	3,060	2,846
Net loss/(gain) on asset sales	-	-	-	-	-	-	-
(Increase)/decrease in working capital :	1,018	1,249	(1,288)	1,133	(1,813)	(1,606)	(1,462)
Accounts receivable	219	(1,083)	(2,377)	919	(931)	(308)	(951)
Inventory	1,294	1,409	(945)	(594)	(644)	(2,060)	(1,222)
Accounts payable	(495)	924	2,035	808	(238)	763	711
Other operating cash flow items	(77)	37	1,817	477	-	-	-
Cash flow from operations	4,372	4,633	5,203	7,183	4,037	4,668	4,972
Purchase of PP&E (CAPEX)	(1,758)	(1,364)	(2,071)	(2,830)	(3,230)	(1,850)	(1,500)
Other investment cash flow items	(591)	(148)	(1,414)	(1,122)	-	-	-
Cash flow from investing	(2,349)	(1,512)	(3,485)	(3,952)	(3,230)	(1,850)	(1,500)
Dividends (common and preferred) paid	(307)	(125)	(102)	(245)	(342)	(373)	(438)
Share repurchase/issue (change In common stock)	-	-	-	-	-	-	-
Increase/(decrease) in short-term debt	(1,070)	(369)	264	(1,345)	1,500	-	-
Increase/(decrease) in long-term debt	1,397	(1)	2,157	1,709	1,000	-	-
Change in minority interest	(152)	(50)	(127)	224	-	-	-
Other financing cash flow items	(1,307)	(2,626)	(3,216)	(2,450)	-	-	-
Cash flow from financing	(1,439)	(3,171)	(1,025)	(2,107)	2,158	(373)	(438)
Effect of foreign exchange rate changes	178	61	21	(50)	-	-	-
Total cash flow	762	11	714	1,074	2,965	2,445	3,035
Capex to revenues	9%	7%	8%	9%	9%	5%	4%
Free cash flow	2,614	3,269	3,132	4,353	807	2,818	3,472
FCF yield	7%	9%	9%	12%	2%	8%	10%
Dividends per share (Rmb)	0.10	0.09	0.21	0.29	0.32	0.37	0.42
Payout ratio	15%	14%	14%	14%	14%	14%	14%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - AAC

Valuation: We are Neutral rated with a 12-month target price of HK\$51.0 (based on a 15.8x 2027E P/E), with our target P/E multiple derived from the correlation between peers' P/E and NI YoY growth.

Key risks include: 1) Faster/ Slower-than-expected expansion of low-margin camera modules; 2) Fiercer/ Less-than-expected competition across handset lenses, camera modules, and existing product lines (acoustics, MEMS microphones, haptics and RF mechanical); 3) Faster/ Slower than expected innovative business expansion.

2018.HK	12m Price Target: HK\$51.00	Price: HK\$39.42	Upside: 29.4%
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Neutral		GS Forecast				
Market cap: HK\$46.2bn / \$5.9bn Enterprise value: HK\$43.3bn / \$5.5bn 3m ADTV: HK\$208.4mn / \$26.6mn China Greater China Technology M&A Rank: 3 Leases incl. in net debt & EV?: No			12/25	12/26E	12/27E	12/28E
	Revenue (Rmb mn) New	31,817.0	36,424.1	39,520.8	42,667.8	
	Revenue (Rmb mn) Old	31,817.0	36,686.4	41,144.3	44,048.7	
	EBITDA (Rmb mn)	5,622.2	6,152.4	6,912.5	7,102.7	
	EPS (Rmb) New	2.14	2.34	2.74	3.06	
	EPS (Rmb) Old	2.14	2.35	2.74	3.06	
	P/E (X)	17.8	14.4	12.3	11.0	
	P/B (X)	1.8	1.5	1.3	1.2	
	Dividend yield (%)	0.8	0.9	1.1	1.2	
	CROCI (%)	15.3	13.0	13.3	12.8	
		12/25	6/26	12/26E	--	
	EPS (Rmb)	1.42	–	–	–	

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 2 Oct 2026 close.

Disclosure Appendix

Reg AC

We, Allen Chang and Verena Jeng, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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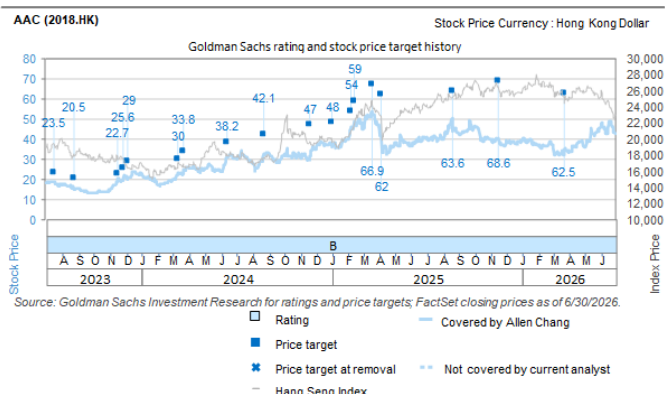
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Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

AAC (2018.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
23-Aug-26	50.00	40.10
22-Mar-26	62.50	32.22
16-Nov-25	68.60	39.70
21-Aug-25	63.60	43.72
06-Apr-25	62.00	41.35
20-Mar-25	66.90	52.05
13-Feb-25	59.00	46.55
06-Feb-25	54.00	45.45
02-Jan-25	48.00	36.25
19-Nov-24	47.00	30.00
23-Aug-24	42.10	32.75
13-Jun-24	38.20	30.85
21-Mar-24	33.80	22.70
10-Mar-24	30.00	22.10
06-Dec-23	29.00	20.55
27-Nov-23	25.60	20.55
17-Nov-23	22.70	20.40

Price targets shown in table(s) are unadjusted for corporate actions.

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